

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 17-04

REGULATORY REFORM INITIATIVE**COMMENTS OF RICHARD J. ROCHE**

I, Richard J. Roche, am employed as Vice President of International Transportation at Mohawk Global Logistics Corp, OTI No. 00395NF, headquartered in North Syracuse, NY. We operate six other branch locations across New York, and in New Jersey, Ohio, and Illinois. We transact OTI business from these offices in the USA, and use agents to facilitate our operations in many foreign countries around the globe.

Mohawk Global Logistics is a member of the NCBFAA where I serve as the NVOCC Subcommittee Chairman for the Transportation Committee. As such, I am quite familiar with tariffs, NRAs and NSAs, and have used them all. Here are my comments:

Rate Tariffs

There is no practical use for rate tariffs in today's fast-paced internet-based environment. We have testified in the past that no one ever asks to see them. One former tariff publishing company I worked with and our current rate database vendor have both given testimony that tariffs are simply never opened once rates are filed there. Tariffs are an archaic form

of recording rates for common carriers which our industry has moved well beyond in this post-OSRA era of contract carriage practiced today. Our rates are negotiated with each client individually based on their need. If our clients benchmark our rates they do so by seeking additional up-to-the-minute quotes from our competitors. They definitely do not seek information from anyone's filed tariff.

With all the email connections and internet rate search sites available to them today, the shipping public has access to more rates with quicker quoting speed than ever before. This allows them to make informed decisions in selecting providers who offer competitive market costs without ever having to view tariffs. At the same time this process removes any risk of unfair rate practices that tariffs might have been put in place initially to protect against. Any dispute about rate or service is easily handled commercially, avoiding the necessity of filing complaints or referring back to tariffs. For these reasons we feel that the filing requirement of rate tariffs should be eliminated.

NRAs

We are thankful to the commission for making the use of NRAs available to us in lieu of tariff filing. This has eased the cost of tariff filing and the burden of maintaining a tariff that proved to be an ineffective and seldom used tool for the shipping public. We converted to NRAs early on and recognized the benefits immediately, not only in cost savings, but

as better use of our staffs' time and talents. The NRA, while not perfect, was a great step towards mirroring acceptable business practice when it comes to negotiating and recording rates.

We do find some limitations to the NRA however. There is no provision for us to negotiate terms into NRAs that cover credit, performance standards, minimum volume commitments, penalties and/or incentives, surcharges, free time, demurrage, per diem and other similar components related to the transport of goods. We find ourselves wanting to enter these types of provisions in our NRA or in some cases are asked to do so by our clients. While such provisions could be covered in the more formal NSA, the filing burden and rules of use run parallel to tariff filing and are equally as burdensome. When faced with the choice of tariff, NRA, or NSA, we typically opt for the NRA, but always subject to its limitations. If tariffs should be eliminated it makes sense to also eliminate or change the NRA process that was put in place in lieu of the tariff requirement. NRAs should either allow the incorporation of more commercial terms, or be eliminated entirely in favor of agreements between parties enforceable under contract law.

NSAs

NSAs by their nature are more burdensome to use than NRAs. They require 30-days advanced filing to increase rates and must be filed with the FMC on or before their effective date. Chasing down signatures on amendments is not only problematic with our clients,

but the amendment must frequently be redone when the announced increase is delayed, mitigated or cancelled as regularly occurs today. Worse are the overlapping increases where there might be a fuel change one week, a GRI on another and a PSS on a third week, all subject to change by the effective date three weeks in a row.

We acknowledge some of our clients prefer a formal contract from us when doing business together, but we must argue this confidential contracting is not necessary to be filed with the FMC. We should be allowed under free-market standards to enter contractual obligations with our clients absent of 30-days notice rules for rate increases and essential terms filing requirements. Like the NRA argument above such agreements would be enforceable under contract law.

Co-Loading Regulations

We find the co-loading requirements between NVOCCs to also be archaic and serving no purpose in today's market environment. As a matter of practicality, NVOCC space that goes unused is wasteful and costly to the industry. By allowing competitors to freely cooperate with each other we are able to eliminate wasted space in the system and move cargo at lower costs which is a good thing for our clients. They rely on us to find the best shipping alternatives and ultimately do not care if we are buying the service directly from VOCC's or from other NVOCC's as long as we deliver a reliable and cost effective product. We therefore see no reason why such arrangements need to be highlighted through

annotation on bills of lading. In fact such annotation could be counterproductive to our client if other NVOCC's were to jump onto our relationships with co-loading NVOCC's and take space that we might otherwise have used. We strongly urge the Commission to eliminate the sections on co-loading in 46 CFR Part 520.

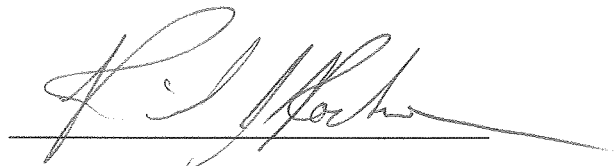
In conclusion, we feel that rate tariff filing requirements should be eliminated at this time. NRAs, if not eliminated, should be allowed to incorporate commercial terms much like NSAs are able to do today. NSA filing requirements should also be eliminated in favor of confidential contracting in a free-market environment, enforceable under contract law. We also feel that the co-loading requirements serve no purpose and should be rescinded.

We fully support the NCBFAA response and that of the NYNJFFF&BA both submitted under this Reform Initiative.

We thank the Commission for listening to our opinions on this matter and look forward to hearing about positive steps to move forward with these matters.

Respectfully Submitted,

DATED: July 5, 2017

A handwritten signature in dark ink, appearing to read "R. J. Roche", is written over a horizontal line.

Richard J. Roche

Vice President International Transportation

Mohawk Global Logistics